TEN YEARS ON

THE NDB'S GROWING ROLE IN THE GLOBAL SOUTH

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The New Development Bank (NDB) continues to solidify its fast-growing role as a central financial hub for the Global South. Established in 2015 by the BRICS nations – Brazil, Russia, India, China, and South Africa – the NDB's core mandate is to mobilise resources for infrastructure and sustainable development while promoting a fairer global financial order. Ten years on, the bank has grown, and continues to. At this point, it can no longer be overlooked in discourses surrounding alternatives to traditional global financial institutions that are normally dominated by developed economies.

Growing membership

A focal point of the bank's progress has been its growing membership. In its first wave of expansion in 2021, the Bank admitted the United Arab Emirates, Bangladesh, Uruguay and Egypt. The second wave of expansion followed this year with the admission of Algeria, Colombia, and Uzbekistan – bringing the total membership to 11 countries. This expansion is a testament to the NDB's commitment to broadening its representation and strengthening cooperation across regions of the Global South. Several other applications are currently under review, following internal procedures designed to ensure transparency and strategic alignment. There are, however, reports that one of the countries under review could be Malaysia.

The NDB's model of governance

The NDB's governance model sets it apart from traditional global financial institutions such as the World Bank and the International Monetary Fund (IMF). Its framework is grounded in equality among members. All countries, whether large or small, have an equal voice in decision-making. There is no system of veto power, and decisions are reached through consensus or qualified majority. This approach, coupled with the bank's rejection of political or economic conditionalities, ensures that member states retain full sovereignty over their development priorities. Projects are evaluated primarily on their technical and developmental merits, not on imposed external policy prescriptions.

Financial performance and investment strategy

The bank's financial performance and operational reach have expanded progressively. As of October 2025, the NDB has approved 120 projects worth a total of US$39 billion, of which more than US$22 billion has already been disbursed. These projects cut across a wide range of sectors, including logistics infrastructure, renewable energy, health system modernisation, and digital transformation.

According to Dilma Rousseff (President of the NDB), the bank's investment strategy is guided by four strategic pillars: logistics infrastructure, digital transformation, social infrastructure, and energy transition. Together, these priorities align with the most pressing development challenges of the 21st century – sustainable connectivity, technological sovereignty, social inclusion, and the shift toward clean energy. The bank has also shown strong performance in the capital markets, having raised over US$16 billion in 2024 through bond issuances in various currencies. These competitive issuances, with narrow spreads over standard rates, draw attention to the renewed investor confidence in the NDB's financial stability.

Local-currency financing

Local-currency financing has become a defining feature of the Bank's operations. The NDB aims to reduce exposure to exchange-rate volatility and lessen dependency on the US dollar by issuing loans in members' domestic currencies. For instance, South Africa's recent $398 million loan agreement with the NDB to upgrade critical freeways and infrastructure was denominated in rands. Approximately 25 per cent of the bank's lending portfolio is already denominated in local currencies of the BRICS countries, a figure set to rise to 30 per cent in 2026. This approach undoubtedly supports the development of local capital markets and strengthens financial resilience among member countries.

The road ahead

According to Rousseff, the NDB's strategy for the next decade focuses on four main objectives: broadening membership to enhance representativeness, attracting private capital through risk-mitigation mechanisms, strengthening research partnerships to advance innovation, and expanding local-currency operations. Moreover, while the bank recognises the continued dominance of the US dollar, the steady rise of local-currency financing should be seen as a healthy diversification of the global financial system.

Ten years after its establishment, the NDB stands as one of the most tangible institutional achievements of BRICS cooperation. The growing membership base, a robust portfolio of sustainable projects, and an inclusive governance model position the bank as a pragmatic and credible platform for financing development in the Global South.

